

Apportionment of input tax [¶32-022]

[¶32-022]

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In 2023 changes were made to the GST apportionment and adjustment rules which are intended to reduce compliance costs and align with current taxpayer practices. The main changes are:

- # introducing a principal purpose test for goods and services acquired for \$10,000 or less which allow a taxpayer to claim a GST input tax deduction if the test is met
- # no subsequent adjustments required to be made for goods and services acquired for \$10,000 or less
- # reducing the number of adjustment periods that GST-registered persons need to monitor their percentage actual use of assets and make annual adjustments to 10 years for land and 2 years for goods and services acquired for between \$10,000 to \$20,000 (GST exclusive), and
- # allowing GST-registered persons to elect to treat certain assets that are used mainly for private or exempt purposes as being used solely for private or exempt purposes.

General

The test for input tax (under s 3A) is determined under an apportionment approach. Taxpayers are permitted an input tax credit to the extent they “actually use” the goods or services in making taxable supplies. Under s 20(3C) a GST-registered recipient can apportion the GST incurred on the acquisition of goods or services and claim an input tax deduction for goods or services that are available for use in making taxable supplies.

Under s 20(3D), recipients are relieved from the obligation to apportion the input tax on acquisition of goods or services if they make both taxable and exempt supplies and have reasonable grounds to believe that the total value of their exempt supplies will be no more than the lesser of \$90,000 or 5% of the total consideration for all their taxable and exempt supplies for the adjustment period.

In determining the extent to which goods or services are used for making taxable supplies, s 20(3G) stipulates that, at the time of acquisition, a person must estimate how they intend to use the goods or services, and choose a determination method that provides a fair and reasonable result. IR has stated that the estimate could be made on the basis of any records that are available, previous experience, business plans or other suitable methods. The method of working out the extent of the intended taxable use will largely depend on the nature of the goods and services in question. The determination is expressed as a percentage of total use that will then be used by the person to claim the proportion of the input tax corresponding with the estimated intended taxable use (s 20(3H) and (3I)). The resulting calculation is:

full input tax deduction (ie the total tax charged or Customs GST charged or imputed secondhand goods credit)	×	percentage intended use (ie the percentage of intended use for making taxable supplies estimated at the time of acquisition)
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IR provided a discussion of how the apportionment rules apply in practice in *Tax Information Bulletin* ¶231-111 Vol 23, No 1, February 2011 at 33. The simple examples below demonstrate how the calculation applies.

Examples:

- # A GST-registered sole trader purchases a car to replace her existing car. Her logbook for her old car indicates that she used it 80% for business purposes and 20% for private purposes. She does not expect this ratio to change so she estimates she will use the new car 80% for business purposes. She pays \$20,000 plus \$3,000 GST and the business she operates is 100% taxable. On acquisition, she can include a claim of \$2,400 in her GST return (\$3,000 × 80%).
- # Assuming the same facts as in the above example, but the intended use of the car is 30% business and 70% private. The resulting deduction is therefore \$3,000 × 30% = \$900.
- # A property developer company makes almost wholly taxable supplies. It purchases a residential property from an unregistered person and rents out that property long term pending a deferred (12-month) sale of that property. The annual rent is \$20,000 and the company makes no other exempt supplies (eg does not receive any interest income) and has a GST taxable turnover of \$1,000,000 pa. Since the total value of exempt supplies is expected to be no more than the lesser of

\$90,000 and 5% of the total consideration for all supplies, the company does not have to apportion the input tax and can claim a full input tax credit on the land.

The rules attempt to achieve as much accuracy as possible at acquisition by requiring taxpayers to make fair and reasonable estimates on the intended taxable and non-taxable uses of goods and services acquired. However, taxpayers might have to make further adjustments in later periods if the actual taxable use subsequently varies from the intended taxable use ([¶32-088](#)).

Note: The [Tax Administration \(GST Adjustment Rules\) Modification Order 2024](#) came into force on 10 September 2024 to correct a legislative error as an interim measure until the [Taxation \(Annual Rates for 2024–25, Emergency Response, and Remedial Measures\) Bill](#) corrects the error permanently. As a general principle, taxpayers can claim a deduction for GST on expenses they incur in making taxable supplies. If an asset is used for both business (taxable) and private (non-taxable) purposes, an adjustment must be made to ensure that the GST claimed is proportional to the business use of the asset. Subsequent adjustments may be required if there is a change in the use of the asset. Adjustments are generally made at the end of the taxpayer's income year. The GST adjustment rules also enable taxpayers to claim a deduction for GST on an asset they acquired before they became registered for GST. In 2023, changes were made to simplify the GST adjustment rules. This included reducing the number of adjustment periods required in circumstances where an asset had a permanent change of use, from 2 adjustments to one. The rationale behind this was to reduce compliance costs by enabling taxpayers to get a full GST deduction for the asset by performing one calculation, instead of 2 calculations which would span 2 years. However, IR identified an error with the application provision in the legislation for this change. Specifically, the application provision referred to the simplified calculation method being available for adjustment periods that began after 1 April 2023. It should have referred to the simplified calculation method being available from 1 April 2023 instead. This error prevented taxpayers from being able to benefit from the change if the taxpayer acquired an asset before 1 April 2023 and started using it to make taxable supplies after 1 April 2023. The Order resolved this issue and is revoked on 31 March 2025.

Special rules: Associated parties, land, financial services providers, non-profit bodies, registered non-residents and mixed-use assets under the Income Tax Act 2007

Associated parties

Special rules apply to the amount of input tax credit claimable for certain associated party transactions. The rules state that the amount of input tax for the supply is limited to the amount accounted for as output tax for all supplies that are part of the relevant transactions. This applies where:

- # a supply consists wholly or partly of land and is part of an arrangement involving more than 2 associated parties and more than one supply. The amount of input tax cannot exceed the amount of output tax actually accounted for on all supplies that are part of the arrangement (s [3A\(3B\)](#))
- # a person registers for GST and claims a change of use input tax credit for assets and other commodities already owned at the time of registration and those assets or other commodities were acquired from an associated person. The resulting change of use credit cannot exceed the output tax actually accounted for by the supplier (s [3A\(3C\)](#)).

Goods and services less than \$10,000

A simple principal purpose test for assets acquired for \$10,000 (excluding GST) or less has been introduced. From 1 April 2023, if these assets are principally acquired for business purposes, the GST-registered business is able to claim a full GST input tax deduction, rather than applying the apportionment rules to the acquired goods or services (s [20\(3CB\)](#) and [20\(3CC\)](#)).

Land

From 1 April 2024, the repeal of the mixed-use asset adjustment rules (see below) may impact certain land and the calculations for later adjustment periods.

Section [20\(3J\)](#) requires an apportionment of input tax when a supply that includes land is zero-rated under the zero-rating rules in s [11\(1\)\(mb\)](#) ([¶132-505](#)). Technically, the input tax under a zero-rated transaction is zero. However, a complicated rule applies where the supply is wholly or partly of land and that supply is zero-rated. Here, the recipient is required to:

- # identify the nominal amount of GST that would be charged on the supply if it was not zero-rated
- # estimate the intended taxable use of the goods or services using a method that produces a fair and reasonable result
- # account for output tax for the proportion of the nominal GST component for any non-taxable use of the land, and
- # for later adjustment periods, make adjustments in relation to any subsequent change of use of the land.

The broad effect of this is to render a GST-registered person liable to account for output tax on goods or services to the extent that they acquire zero-rated land and use part of that supply for non-taxable (exempt or private) purposes.

Zero-rated supplies of going concerns

Under s [11\(1\)\(m\)](#), the sale of a going concern between registered persons may be zero-rated if the supplier and recipient agree. From 30 March 2022, s [20\(3J\)](#) requires a registered person to determine if they have any non-taxable use of goods (such as private use or use of the goods to make exempt supplies) and return output tax in respect of 15% of the consideration they paid to acquire the goods multiplied by their percentage of non-taxable use.

Financial services providers

To help reduce the financial services sector's high compliance costs, s [20\(3E\)](#) allows financial services providers to agree with the Commissioner on a fair and reasonable method of apportionment under the apportionment provisions ([¶132-044](#)). The method must have regard to the tenor of the present apportionment rules. This treatment is extended to non-residents registered under s [54B](#) that principally make supplies of financial services (s [20\(3M\)](#)). See [¶132-148](#) for a discussion of registration under s [54B](#).

Non-profit bodies

Section [20\(3K\)](#) provides that where a New Zealand resident non-profit body uses goods or services other than for making exempt supplies, the goods or services are treated as being used for making taxable supplies.

Registered non-residents

A non-resident business that does not carry on, or intend to carry on, a taxable activity in New Zealand and is registered under s [54B](#) is able to claim input tax deductions under s [20\(3L\)](#) for GST incurred on business expenses. This subsection allows input tax to be deducted to the extent to which the goods or services are used for, or are available for use in, making taxable supplies, treating all the supplies made by the person as if they were made and received in New Zealand. Effectively, the provision requires the registered non-resident to determine what their input tax deductions would be if they were a resident business. Note that s [20\(3LB\)](#) and [\(3LC\)](#) prevent GST-registered non-residents from claiming input tax deductions for GST levied by the New Zealand Customs Service.

From 30 March 2022, s [20\(3L\)](#), [\(3LB\)](#) and [\(3LC\)](#) were amended to allow a GST-registered non-resident business to claim input tax deductions for their New Zealand inputs that relate to the exported goods. Amendments to s [20\(3LB\)](#) and [\(3LC\)](#) prevent an input tax deduction from being claimed by the non-resident for Customs GST paid on any imported goods that are:

supplied to a person in New Zealand who is not a GST-registered person, or who is a GST-registered person and the supply is not for use in their taxable activity, and
outside New Zealand at the time of supply.

To be registered under s [54B](#), the Commissioner must be satisfied as to a range of matters, including that the non-resident is registered for a consumption tax in the territory in which they are resident. As GST is intended to be neutral for businesses, the intention is to extend this neutrality to non-resident businesses by ensuring that New Zealand GST incurred is not generally an economic burden for them. See [132-148](#) for a discussion of registration under s [54B](#).

Repealing the mixed-asset rules

From 1 April 2024, the GST mixed-use asset rules in ss [20\(3JB\)](#) and [20G](#) are repealed. The mixed-use asset rules only applied to certain assets, such as holiday homes, aircraft and boats, and only when their use is a mixture of private days, taxable days and at least 62 unused days. They are complex but had limited application. Furthermore, many of the holiday homes that would otherwise become subject to these mixed-use asset rules could become excluded from a registered person's taxable activity due to the operation of ss [6\(3\)\(e\)](#) and [91](#) (which allow registered persons to elect not to monitor periods of use, and treat the goods as if they are only put to non-taxable use). The repeal only affects the GST apportionment rules and does not repeal the mixed-used asset rules under the income tax law.

In cases where GST apportionment continues to apply to a registered person's mixed-use assets, their GST input tax deductions and adjustments will be calculated using the same general GST apportionment rules that apply to other assets. The general rules allow an apportionment percentage to be calculated based on days of taxable use. The repeal of ss [20\(3JB\)\(b\)](#) and [20G](#) has effect from the registered person's first adjustment period beginning on or after 1 April 2024. This means that if, on 31 March 2024, a registered person has begun an adjustment period for a mixed-use asset to which s [20G](#) applies, they will continue to use s [20G](#) until the end of that adjustment period. At their first adjustment period beginning on or after 1 April 2024, they will then begin to use the ordinary adjustment rules in ss [21](#) and [21A](#).

Law: GST ss [3A](#), [20\(2\)](#), [\(3\)](#), [\(3C\)–\(3M\)](#), [21B](#)

Last reviewed on 31 December 2025